

■ PROFIT & LOSS: MINI MARKET DAY

Grade 3 Financial Literacy — Lesson Guide

■ Learning Objectives

- ✓ Understand what money is and why it matters
- ✓ Learn the meaning of Cost Price (CP) and Selling Price (SP)
- ✓ Distinguish between Profit and Loss
- ✓ Calculate profit and loss using simple subtraction
- ✓ Practise real-world buying and selling in a Mini Market activity

■ What is Money?

Money helps us buy things we need and want.

We use money for food, toys, clothes, and saving for the future.

India's currency is the **Rupee (₹)**.

Fun Fact: The word 'Rupee' comes from 'rupya', meaning silver coin. Some of the oldest coins in the world were found in India — over 2,500 years ago!

■ Key Words to Know

Cost Price (CP)

How much you pay to buy or make something

Selling Price (SP)

How much you sell the item for

Profit

Extra money you earn when $SP > CP$

Loss

Money you lose when $CP > SP$

■ Profit vs. Loss — Explained Simply

■ PROFIT

You earn MORE than you spend. SP is greater than CP.

Example: Buy for ■10, Sell for ■15 → Profit = ■5

■ LOSS

You spend MORE than you earn. CP is greater than SP.

Example: Buy for ■10, Sell for ■8 → Loss = ■2

■ Formulas

PROFIT = Selling Price – Cost Price (when SP > CP)

LOSS = Cost Price – Selling Price (when CP > SP)

■ Sample Price List

Item	Cost Price (CP)	Selling Price (SP)	Profit
■ Lemonade	■10	■15	■5
■ Cupcake	■8	■12	■4
⇒■ Pencil	■5	■8	■3
■ Notebook	■15	■20	■5

■ Remember: Selling Price should always be MORE than Cost Price to make a Profit!

■ Mini Market Day — Activity Instructions

- 1 Set up your stall with items and price tags
- 2 Sell items to classmates at your selling price
- 3 Keep track of all money earned and spent
- 4 Count your total earnings at the end
- 5 Calculate your profit or loss
- 6 Share your results with the class!

■ Plan Your Stall — Worksheet

Item	Cost Price (■)	Selling Price (■)	Qty Sold	Total Earned (■)	Profit / Loss (■)

Total Cost Spent (■):

Total Earned (■):

Overall Profit / Loss (■):

■ Tips for Success

- ✓ Set fair prices — not too high or too low
- ✓ Talk nicely to your customers
- ✓ Keep track of your money carefully
- ✓ Have fun and learn!

■ Reflection Time

Q: What did you like about selling?

Q: What was hard?

Q: How did you decide your prices?

Q: What would you do differently next time?

■ What Did We Learn?

■ Profit means earning extra money

■ Loss means spending more than you earn

■ Planning prices is very important

■ Mini Market helps us practise real money skills

"Learning about money helps us make smart choices!" ■